Partner, sponsor, or affiliate

Week 10, Lecture 2 · LangoBee to $10K MRR

Summer 2026 · Operating a Solo Language App from Zero Revenue

What we'll cover

- What 50% equity buys and what it costs permanently
- FAST agreement: the market-rate anchor for advisor equity
- Why a creator deal at 50% is co-founder territory, not distribution
- Milestone-based alternatives: affiliate first, equity last
- Expected-value math: the decision framework
- The recommendation: what to do this week

The 50% question

What 50% actually means

Giving a creator 50% is not a sponsorship. It is a co-founder agreement.

What 50% implies:

- The creator owns half the business permanently, regardless of future work
- Every future investor dilutes both parties equally
- A future acquirer pays both parties; the deal cannot close without both
- The founder cannot pivot, change pricing, or shut down without consent

50% is the right number when someone will work like a co-founder for years. It is not the right number for a distribution deal, regardless of how large the creator's channel is.

(FAST Agreement, Founder Institute, 2020)

The FAST agreement: market rate for advisor equity

The Founder Institute's Founder/Advisor Standard Template (FAST) sets the industry norm:

Stage	Standard advisor	Expert advisor
Idea	0.5%	1.0%
Startup	0.25%	0.5%
Growth	0.15%	0.25%

Two-year vest, three-month cliff. These are advisors who make introductions, give strategic advice, and attend monthly calls.

A creator who posts one sponsored video is not an advisor. An advisor is not a co-founder. 50% is 50x the FAST ceiling for expert advisors.

(FAST Agreement, Founder Institute, 2020)

The three deal structures compared

Flat sponsorship

Cash upfront. $200-1,000 per micro video.

- Fully reversible
- No ongoing obligation
- Risk: you pay even if it does not convert
- Right stage: before any affiliate data exists

Affiliate commission

20-30% of each conversion attributed to creator link.

- Incentive-aligned: creator earns more when conversions are high
- No upfront cost

Milestone-based equity

Small equity grant that vests only against delivered results.

Example structure:

- 30% affiliate commission from day one
- Cash bonus ($500) at 100 paying conversions
- 1-2% equity, vesting monthly over 24 months, starting only after 500 paying subscribers delivered

This is the right structure if a creator is willing to work long-term. It is not appropriate before any conversion data exists.

(Walling, 2022; FAST Agreement, 2020)

The expected-value model

Building the EV model

The question is not "should I give a creator 50%?" The question is "what is the expected value of each structure, and what does each cost?"

```
EV(flat sponsorship) =
  P(video converts) × avg LTV per conversion × conversions
  minus flat fee

EV(affiliate) =
  avg LTV per conversion × (1 − affiliate rate) × conversions
  (no upfront cost; creator absorbs timing risk)

EV(50% equity) =
  (business exit value × 0.5) − (opportunity cost of giving up
  half of every future dollar)
```

The 50% equity structure has the highest ceiling (if the business exits large) and the highest floor cost (permanently). The flat sponsorship has the lowest ceiling and the lowest cost.

LangoBee's EV math (June 2026 snapshot)

At $0 MRR, 4 real WAU, and 0 trials ever started:

- The business has not demonstrated that any acquisition channel converts
- LTV is estimated at ~$16 (5% monthly churn assumption, no real data)
- A 50% equity grant today means giving up half of something that may be worth very little or very much

The expected value of 50% equity for an unvalidated distribution channel:

- If the business reaches $10K MRR: 50% is worth ~$600K at a 10x revenue multiple (best case)
- If the business does not reach PMF: 50% is worth nothing, and the equity was given away before validation

At this stage, the marginal value of a sponsorship test ($500 flat fee) versus 50% equity is asymmetric.

When equity for a creator makes sense

The bar is not "can they send a traffic spike?" The bar is:

1. They will actively develop content about the product for years, not one video
2. They will engage their community in building the product direction
3. They would still work on this if the payout were 10 years away
4. The relationship would survive a pivot, a price change, or a hard year

If all four are true, you are describing a co-founder, and co-founder equity (with a two-year cliff vest and full vesting schedule) is the right structure. Call it what it is.

If any of the four are false, affiliate and milestone structures capture the value without the permanent cost.

(Walling, 2022)

> Paid channels and equity-heavy creator deals are premature until at least one organic or affiliate channel is validated. Structure affiliate first and add equity only after demonstrated delivery. (Paraphrased)

Rob Walling (2022)

Early Stage SaaS Marketing Overview, MicroConf Remote

The recommendation

Given LangoBee's June 2026 state:

1. **Run a flat-fee test first.** One micro-creator video at $200-500. Measure trial starts with a UTM link. No equity involved.
2. **Convert to affiliate if it converts.** If the test produces 10+ trial starts, offer the creator a 25% affiliate commission on ongoing attributable conversions.
3. **Add milestone equity only after demonstrated delivery.** If the affiliate relationship produces 200+ paying subscribers over 6 months, offer 1-2% equity vesting over 24 months against continued delivery.
4. **Never offer 50% before seeing conversion data.** The asymmetry of permanent equity loss versus the low cost of a sponsorship test makes the flat-fee path dominant at every plausible scenario.

Take-aways

1. A 50% equity offer to a creator is co-founder territory, not distribution. The bar is "would this person work like a co-founder for years?" not "can they send one traffic spike?"
2. FAST advisor norms top out at 1% for expert advisors at the idea stage. 50% is 50x that ceiling.
3. Three structures in order of commitment: flat sponsorship (reversible, test first), affiliate commission (incentive-aligned, no upfront cost), milestone equity (earned against delivered results only).
4. At $0 MRR and 0 trials, the EV math strongly favors a $200-500 flat-fee test over any equity grant.
5. Affiliate before equity is the principle. Demonstrate conversion, then reward delivery.

What's next

- **Reading:** "Week 10: Sponsorship, affiliate, or equity-partner?" at `/c/langobee-10k-mrr-26su/readings/wk10`
- **Section this week:** Build the 50-creator prospect list; write and personalize the first five outreach emails
- **Week 11:** Growth loops and owned channels: programmatic SEO from the 17,440-video catalog
- **HW4 in flight, due week 11**